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STERLING INFOSYSTEMS, INC.

UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

WESTERN DIVISION

GREGORY WALKER, an individual and on behalf of all others similarly situated,

Plaintiff,

v.

RONIN STAFFING LLC; UCLA HEALTH; STERLING INFOSYSTEMS, INC. and DOES 1-5,

Defendants.

Case No. 2:24-cv-05669-CBM-AGR

DEFENDANT STERLING INFOSYSTEMS, INC.'S ANSWER TO PLAINTIFF'S COMPLAINT AND AFFIRMATIVE AND OTHER DEFENSES

Defendant Sterling Infosystems, Inc. ("Sterling"), by and through its attorneys, and pursuant to Rules 8 and 12 of the Federal Rules of Civil Procedure, hereby answers Plaintiff Gregory Walker's purported Class Action Complaint And Demand for Jury Trial ("Complaint"), and asserts its affirmative and other defenses as follows:

SUMMARY OF ACTION

COMPLAINT ¶1:

Plaintiff, individually and on behalf of all others similarly situated, brings this action for damages and other legal and equitable remedies, based on: (i) the unlawful and unfair conduct of Ronin's and UCLA Health ("Employer Defendants") in using information

disclosed in the California Department of Justice Megan's Law Website ("Megan's Law Website") for employment purposes; (ii) Employer Defendants' failure to conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an UCLA Health program analyst that justified denying him the position; (iii) Sterling's unlawful and unfair conduct in furnishing to Employer Defendants investigative background reports containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven (7) years; and (iv) Employer Defendants failure to provide a pre-adverse action notice and post-adverse action notice before and after taking adverse action against Plaintiff based on information contained in the background report.

ANSWER:

With respect to those allegations directed toward Sterling, Sterling admits only that Plaintiff purports to bring claims for "damages and other legal and equitable remedies" in connection with a consumer report Sterling prepared on Plaintiff at the request of Ronin Staffing LLC. Sterling states that the referenced report is the best evidence of its contents and denies any allegations in Paragraph 1 of the Complaint that are inconsistent with the referenced report. Sterling further denies that it violated any laws, and denies that Plaintiff or any potential putative class member is entitled to any damages whatsoever. Sterling denies any remaining allegations in Paragraph 1 of the Complaint to the extent they are directed towards Sterling, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶2:

In so doing, Employer Defendants violated the: (i) California Megan's Law, Penal Code § 290.46 ("Megan's Law"); (ii) California Fair Chance Act, Government Code § 12952; (iii) federal Fair Credit Reporting Act ("FCRA"), 15 U.S.C. § 1681b(b)(3); and (iv) California Unfair Competition Law ("UCL"), Business and Professions Code § 17200. Sterling violated: (i) California's Investigative Consumer Reporting Agencies Act

("ICRAA"), Civil Code § 1786.18; and (ii) the UCL, Business and Professions Code § 17200.

ANSWER:

With respect to those allegations directed toward Sterling, Sterling denies the allegations in Paragraph 2 of the Complaint, and specifically denies that Sterling violated the California Investigative Consumer Reporting Agencies Act ("ICRAA") or the UCL, Business and Professions Code § 17200, or any other law, and specifically denies that class treatment is appropriate in this action. Sterling lacks knowledge or information sufficient to form a belief as to the truth of the remaining allegations in Paragraph 2 of the Complaint.

COMPLAINT ¶3:

With respect to Ronin and UCLA Health's unlawful and unfair use of information on the Megan's Law Website, pursuant to the applicable statutes, Plaintiff seeks an injunction and public injunctive relief ordering that, moving forward, Ronin and UCLA Health cease from using information on the Megan's Law Website for employment purposes. With respect to Employer Defendants' failure to conduct an individualized assessment of whether an applicant's conviction history has a direct and adverse relationship with the specific duties of the job that justify denying the applicant the position, Plaintiff seeks an injunction and public injunctive relief ordering that, moving forward, Employer Defendants institute a robust program to provide for the individualized assessment of each prospective employee or employee with a known conviction history. With respect to Employer Defendants unlawful and unfair conduct in failing to provide pre-adverse action and post-adverse action notices, Plaintiff seeks an injunction and public injunctive relief ordering that, moving forward, Employer Defendants cease such conduct. With respect to Sterling's furnishing of investigative background reports containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years, pursuant to the applicable statutes, Plaintiff seeks an injunction and public injunctive relief ordering that, moving forward, Sterling cease such conduct.

ANSWER:

With respect to those allegations directed toward Sterling, Sterling admits that Plaintiff seeks damages for purported violations of "applicable statutes." Sterling denies that it violated ICRAA or the UCL, or any other law, and specifically denies that Plaintiff or any potential putative class member is entitled to any relief whatsoever from Sterling. Sterling denies any remaining allegations in Paragraph 3 of the Complaint to the extent they are directed towards Sterling, and specifically denies that class treatment is appropriate in this action.

THE PARTIES

COMPLAINT ¶4:

Plaintiff is an individual consumer residing in the State of California, Los Angeles County.

ANSWER:

Sterling admits that Plaintiff is a "consumer" as that term is defined by the FCRA. Sterling lacks knowledge or information sufficient to form a belief as to the location of Plaintiff's current residence.

COMPLAINT ¶5:

Defendant Ronin is an employer, staffing agency, and "full-service provider of award-winning Human Capital Management, Temporary & Direct Hire Support." Ronin is a California limited liability company headquartered in Los Angeles County, California. On information and belief, at all times Ronin was an agent and fiduciary representative and acted at the direction of UCLA Health.

ANSWER:

Paragraph 5 of the Complaint does not include allegations directed toward Sterling, and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 5 of the Complaint.

COMPLAINT ¶6:

Defendant UCLA Health is the public healthcare system affiliated with the University of California, Los Angeles, located in Los Angeles, California. It comprises a number of hospitals, UCLA David Geffen School of Medicine, and an extensive primary care network in the Los Angeles region.

ANSWER:

Paragraph 6 of the Complaint does not include allegations directed toward Sterling, and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 6 of the Complaint.

COMPLAINT ¶7:

Defendant Sterling is a consumer reporting agency that assembles and provides consumer reports to third parties for employment purposes and facilitates third party background checks. Sterling is a Delaware corporation with headquarters in Independence, Ohio.

ANSWER:

Sterling admits that it provides certain services as a "consumer reporting agency," as that phrase is defined by the FCRA, and as to those services only. Sterling further admits that its reports may be used in connection with employment decisions and admits that it is incorporated in Delaware and headquartered in Ohio. Sterling denies any remaining allegations in Paragraph 7 of the Complaint.

COMPLAINT ¶8:

Doe Defendants 1-5 are companies and/or individuals who used information on the Megan's Law Website for employment purposes, failed to conduct an individualized assessment, failed to provide pre-adverse action or post-adverse action notices, and/or generated background reports in violation of the ICCRAA.

ANSWER:

Paragraph 8 of the Complaint does not include allegations directed toward Sterling, and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 8 of the Complaint, and specifically denies that class treatment is appropriate in this action.

JURISDICTION AND VENUE

COMPLAINT ¶9:

This is an action brought under 15 U.S.C. § 1681b, 1681n and § 16810 of the FCRA. The Court has jurisdiction over this action pursuant to 28 U.S.C. § 1331 because it arises under the laws of the United States. This Court also has jurisdiction over this action pursuant to the Class Action Fairness Act, 28 U.S.C. § 1332(d)(1). Plaintiff brings a class action under Federal Rule of Civil Procedure 23. Plaintiff and Sterling are citizens of different states, and on information and belief, the amount in controversy exceeds the sum of $5,000,000.00.

ANSWER:

Sterling states that the allegations in Paragraph 9 of the Complaint consist only of legal conclusions and, therefore, no response is required. To the extent a response is required, Sterling does not challenge jurisdiction and admits only that it is not incorporated and does not have a principal place of business in California. Sterling denies the remaining allegations in Paragraph 9, and specifically denies that it violated the ICRAA, the UCL, or any other law.

COMPLAINT ¶10:

Venue in this district is proper under 28 U.S.C. § 1391(b)(2) because Plaintiff is a resident of Los Angeles County and a substantial part of the events or omissions giving rise to the claim occurred in this District.

ANSWER:

Sterling states that the allegations in Paragraph 10 of the Complaint consist only of legal conclusions and, therefore, no response is required. To the extent a response is

required, Sterling states that it does not challenge venue. Sterling lacks knowledge or information sufficient to form a belief as to Plaintiff's current residence. Sterling denies all remaining allegations in Paragraph 10 of the Complaint, and specifically denies that it violated the FCRA, or any other law.

STATEMENT OF FACTS

COMPLAINT ¶11:

Plaintiff is a graduate of the California State University, Los Angeles. In or around June 2008, Plaintiff obtained his Bachelors of Science from Cal State LA in Business Administration with a minor in Finance and Economics.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 11 of the Complaint.

COMPLAINT ¶12:

That same month, in June 2008 Plaintiff was convicted of committing a sexual offense. Plaintiff served approximately four months in jail for his conviction and was released in or about October 2008. Plaintiff was placed on five years of probation. Plaintiff's probation expired in or around June 2013.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 12 of the Complaint.

COMPLAINT ¶13:

As a result of the conviction, Plaintiff appears as a registered sex offender on the Megan's Law Website, along with information about the basis for his conviction.

ANSWER:

Sterling is without knowledge or information sufficient form a belief as to the truth of the allegations in Paragraph 13 of the Complaint.

COMPLAINT ¶14:

Since his release, Plaintiff has worked extremely diligently to become a productive member of society and gain the skills and knowledge to start a professional career in programming and business. Plaintiff has worked as a software engineer, computer programmer, and computer programming tutor.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 14 of the Complaint.

COMPLAINT ¶15:

To become more proficient in technology and programming, Plaintiff attended school full time and obtained a Master of Science in Software Engineering in 2019 from California State University, Fullerton. Plaintiff has extensive software engineering skills and is proficient in various coding languages, including C++, JavaScript and Python.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 15 of the Complaint.

COMPLAINT ¶16:

However, even with a B.S. from Cal State LA and a M.S. from Cal State Fullerton Plaintiff has faced extreme difficulty finding a steady, full-time job commensurate with his education and skillset.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 16 of the Complaint.

COMPLAINT ¶17:

Plaintiff is now happily married and is eager to move far beyond the mistake of his past. Plaintiff deeply regrets the actions that led to his conviction, and since his release he has made every effort to rebuild and redefine himself by educating himself and working diligently to become a productive member of his community. However, the "powers that

be," including Ronin, UCLA Health, and Sterling continue to place roadblocks that have made it very difficult for Plaintiff to transition and be a contributing member of society.

ANSWER:

With respect to those allegations directed toward Sterling, Sterling denies the allegations in Paragraph 17 of the Complaint. Sterling lacks knowledge or information sufficient to form a belief as to the truth of the remaining allegations in Paragraph 17 of the Complaint.

COMPLAINT ¶18:

In late 2022, Ronin contacted Plaintiff about employment with UCLA Health for a program analyst position. Ronin said that Plaintiff would be a great candidate for the position.

ANSWER:

Paragraph 18 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 18 of the Complaint.

COMPLAINT ¶19:

Plaintiff expressed his interest in the position, and subsequently was contacted directly by UCLA Health for an interview. After completing two rounds of interviews, UCLA Health offered Plaintiff the program analyst position and provided a list of information for Plaintiff to review and complete, including an employment agreement and authorization form for a background check.

ANSWER:

Paragraph 19 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegation sin Paragraph 19 of the Complaint.

COMPLAINT ¶20:

Ronin also sent Plaintiff an application, which he completed and returned.

ANSWER:

Paragraph 20 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegation sin Paragraph 20 of the Complaint.

COMPLAINT ¶21:

Plaintiff completed a number of exams, including a drug test and COVID-19 test. At UCLA Health's direction, Plaintiff also completed numerous training courses provided by UCLA Health and was advised that he would be paid for his time completing the courses.

ANSWER:

Paragraph 21 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 21 of the Complaint.

COMPLAINT ¶22:

In early October 2022, at Employer Defendants' direction, Sterling conducted a background check of Plaintiff and generated and sent Employer Defendants a copy of the background report.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling admits that it prepared a consumer report regarding Plaintiff at the request of Ronin Staffing LLC and shared a copy of the report with Ronin Staffing LLC. Sterling denies any remaining allegations in Paragraph 22 of the Complaint.

COMPLAINT ¶23:

In the Section entitled DOJ Sex Offender Search, the background report states: "WALKER, GREGORY EUGENE IS CURRENTLY A REGISTERED SEX OFFENDER IN THE STATE OF CALIFORNIA."

ANSWER:

Sterling states that the referenced report is the best evidence of its contents and denies any allegations in Paragraph 23 of the Complaint that is inconsistent with the contents of the referenced report. Sterling denies any remaining allegations in Paragraph 23 of the Complaint.

COMPLAINT ¶24:

Subsequently, in October 2023 UCLA Health informed Plaintiff that the offer was rescinded because of information contained in Plaintiffs background report.

ANSWER:

Paragraph 24 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 24 of the Complaint. Answering further, Sterling states that the referenced report is the best evidence of its contents and denies any allegations in Paragraph 24 of the Complaint that is inconsistent with the contents of the referenced report. Sterling denies any remaining allegations in Paragraph 24 of the Complaint.

COMPLAINT ¶25:

Before rescinding the job offer, neither Employer Defendants nor Sterling provided Plaintiff with a copy of the consumer report or notice that his employment could be adversely impacted.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 25 of the Complaint.

COMPLAINT ¶26:

After the job offer was withdrawn, Plaintiff did not receive notice in writing that adverse action had been taken based on the background report from Sterling.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 26 of the Complaint.

COMPLAINT ¶27:

On information and belief, at no time did Employer Defendants conduct an individualized assessment of whether Plaintiffs conviction history has a direct and adverse relationship with the specific duties of a UCLA Health program analyst.

ANSWER:

Paragraph 27 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 27 of the Complaint.

COMPLAINT ¶28:

Ronin and UCLA Health refused to hire Plaintiff because of conviction information Sterling obtained from the Megan's Law website and disclosed in the background report to Employer Defendants. Ronin and UCLA Health also did not compensate Plaintiff for the time he was employed and the numerous trainings he completed.

ANSWER:

Paragraph 28 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 28 of the Complaint. Answering further, Sterling states that the referenced report is the best evidence of its contents and denies any allegations in Paragraph 28 of the Complaint that is inconsistent with the contents of the referenced report. Sterling denies any remaining allegations in Paragraph 28 of the Complaint.

COMPLAINT ¶29:

If Defendants would give Plaintiff a fair chance at employment, Plaintiff would like to apply again to work for Employer Defendants.

ANSWER:

Paragraph 29 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 29 of the Complaint.

CLASS ACTION ALLEGATIONS

COMPLAINT ¶30:

Plaintiff brings this action on behalf of himself and all others similarly situated (the "Classes"), pursuant to Federal Rule of Civil Procedure 23(b)(2) and 23(b)(3), based on the following class definitions:

> **Megan's Law Class**: All persons in California who applied for employment with Employer Defendants and were denied employment as a result of Ronin and/or UCLA Health's use of information disclosed in the Megan's Law Website, during the relevant statute of limitations period.
>
> **Fair Chance Class**: All persons in California who applied for employment with Ronin and/or UCLA Health and were denied employment as a result of their conviction history.
>
> **ICRAA Class**: All persons in California on whom Sterling conducted a background search and furnished an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years, during the relevant statute of limitations period.
>
> **FCRA Class**: All persons in the United States who were denied employment by Ronin and/or UCLA Health based on information contained in a consumer report, during the relevant statute of limitations period.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling admits only that Plaintiff purports to bring this Complaint as a class action on behalf of himself and other individuals. Sterling denies all remaining allegations in Paragraph 30 of the Complaint,

and specifically denies that it violated the ICRAA or any other law, and denies that class treatment is appropriate in this action.

COMPLAINT ¶31:

Excluded from the Classes are: (1) Defendants, any entity or division in which Defendants have a controlling interest, and their legal representatives, officers, directors, assigns, and successors; and (2) the Judge to whom this case is assigned and the Judge's staff. Plaintiff reserves the right to amend or expand the Classes' definitions to seek recovery on behalf of additional persons as warranted as facts are learned in further investigation and discovery.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 31 of the Complaint, and specifically denies that it violated the ICRAA or any other law, and denies that class treatment is appropriate in this action. Sterling denies all remaining allegations in Paragraph 31 of the Complaint.

COMPLAINT ¶32:

Plaintiff and members of the Megan's Law Class were harmed by the acts of Ronin and UCLA Health in at least the following ways: Employer Defendants used registry information in the Megan's Law Website for purposes relating to employment, Defendants denied Plaintiff and other members of the Megan's Law Class employment based on information from the Megan's Law Website, and this violation caused Plaintiff and Megan's Law Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

ANSWER:

Paragraph 32 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 32 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶33:

Common questions of fact and law exist as to all members of the Megan's Law Class, which predominate over any questions affecting only Plaintiff or individual members of the Megan's Law Class. These common legal and factual questions, which do not vary between the Megan's Law class members, and which may be determined without reference to the individual circumstances of any Megan's Law Class members, include, but are not limited to, the following:

A. Whether, within four years prior to the filing of this Complaint, Employer Defendants used information in the Megan's Law Website for purposes relating to employment;

B. Whether, within four years prior to the filing of this Complaint, Employer Defendants denied Plaintiff and other members of the Megan's Law Class employment based on information from the Megan's Law Website;

C. Whether Plaintiff and the Megan's Law Class members were damaged thereby, and the extent of damages for such violation;

D. Whether such conduct is unlawful; and

E. Whether Employer Defendants should be enjoined from engaging in such conduct in the future.

ANSWER:

Paragraph 33 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 33 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶34:

As a person who was denied employment as a result of information in the Megan's Law Website, Plaintiff is asserting claims that are typical of the Megan's Law Class.

ANSWER:

Paragraph 33 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 33 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶35:

Plaintiff and members of the Fair Chance Class were harmed by the acts of Ronin in at least the following ways: Employer Defendants intended to deny Plaintiff and members of the Fair Chance Class a position of employment solely or in part because of their conviction history and did not make an individualized assessment of whether their conviction history had a direct and adverse relationship with the specific duties of the job that justified denying them the position. This violation caused Plaintiff and Fair Chance Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

ANSWER:

Paragraph 35 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 35 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶36:

Common questions of fact and law exist as to all members of the Fair Chance Class which predominate over any questions affecting only individual members of the Fair Chance Class. These common legal and factual questions, which do not vary between the Fair Chance Class members, and which may be determined without reference to the individual circumstances of any Fair Chance Class members, include, but are not limited to, the following:

A. Whether within three years prior to the filing of this Complaint Employer Defendants conducted individualized assessments of job applicants with a conviction history;

B. Whether Employer Defendants' conduct was unlawful; and

C. Whether Employer Defendants should be ordered to comply with the Fair Chance Act in the future.

ANSWER:

Paragraph 36 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 36 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶37:

As a person with job applicant with a conviction history who was denied employment by Employer Defendants without an individualized assessment, Plaintiff is asserting claims that are typical of the Fair Chance Class.

ANSWER:

Paragraph 37 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 37 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶38:

Plaintiff and members of the ICRAA Class were harmed by the acts of UCLA Health in at least the following ways: Sterling furnished information to Employer Defendants in an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years. This violation caused Plaintiff and ICRAA Class members to lose an opportunity to earn income, have a lawful paying job, contribute

to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

ANSWER:

Sterling denies the allegations in Paragraph 38 of the Complaint, and specifically denies that it violated ICRAA or any other law, and denies that class treatment is appropriate in this action.

COMPLAINT ¶39:

Common questions of fact and law exist as to all members of the ICRAA Class which predominate over any questions affecting only individual members of the ICRAA Class. These common legal and factual questions, which do not vary between the ICRAA Class members, and which may be determined without reference to the individual circumstances of any ICRAA Class members, include, but are not limited to, the following:

A. Whether within two years prior to the filing of this Complaint Sterling furnished information to third parties (including Ronin and UCLA Health) in an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years;

B. Whether Sterling's conduct was unlawful; and

C. Whether Sterling should be enjoined from engaging in such conduct in the future.

ANSWER:

Sterling denies the allegations in Paragraph 39 of the Complaint, and specifically denies that it violated the ICRAA or any other law, and denies that class treatment is appropriate in this action.

COMPLAINT ¶40:

As a person that who applied for employment and on whom UCLA Health furnished an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole,

antedate the report by more than seven years, Plaintiff is asserting claims that are typical of the ICRAA Class.

ANSWER:

Sterling denies the allegations in Paragraph 40 of the Complaint, and specifically denies that it violated the ICRAA or any other law, and denies that class treatment is appropriate in this action.

COMPLAINT ¶41:

Plaintiff and members of the FCRA Class were harmed by the acts of Employer Defendants in at least the following ways: Employer Defendants requested a background search and received a consumer report containing conviction information about Plaintiff. Before taking adverse action based on information in the report Employer Defendants did not provide Plaintiff with a copy of the report or a description in writing of his rights under the FCRA ("pre-adverse action notice"). After taking adverse action, Employer Defendants failed to provide Plaintiff with notice that adverse action had been taken based in whole or in part on information in the background report, information about Sterling, and Plaintiffs other rights under the FCRA ("post-adverse action notice"). This violation caused Plaintiff and FCRA Class members an opportunity to dispute information in the reports, to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

ANSWER:

Paragraph 41 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 41 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶42:

Common questions of fact and law exist as to all members of the FCRA. Class which predominate over any questions affecting only individual members of the FCRA Class.

These common legal and factual questions, which do not vary between the FCRA Class members, and which may be determined without reference to the individual circumstances of any FCRA Class members, include, but are not limited to, the following:

A. Whether Employer Defendants failed to provide a pre-adverse action and post-adverse action notice;

B. Whether Employer Defendants' conduct was unlawful; and

C. Whether Employer Defendants should be enjoined from engaging in such conduct in the future.

ANSWER:

Paragraph 42 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 42 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶43:

As a person that who applied for employment with Employer Defendants and on whom Sterling furnished a background consumer report containing conviction information from the Megan's Law Website that was used by Ronin and/or UCLA Health for employment decisions, Plaintiff is asserting claims that are typical of the FCRA Class.

ANSWER:

Paragraph 43 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 43 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶44:

The members of the Classes are so numerous that joinder of all members would be unfeasible and impractical. The membership of the Classes is currently unknown to Plaintiff at this time; however, given that, on information and belief, Ronin and UCLA Health staff and/or hire thousands of employees in California each year, and Sterling

furnishes background reports for tens of thousands of prospective employees in California per year, the members of each of the Classes are so numerous that joinder of all members is impracticable. The disposition of their claims in a class action is a superior method to individual actions and will provide substantial benefits to the parties and the Court.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 44 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶45:

Plaintiff will fairly and adequately protect the interest of the members of the Classes because Plaintiff has no interests which are adverse to the interest of absent class members and because Plaintiff has retained counsel who possess significant class action litigation experience regarding alleged violations of consumer statutes.

ANSWER:

Sterling denies the allegations in Paragraph 45 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶46:

A class action is superior to other available methods of fair and efficient adjudication of this controversy because individual litigation of each of the claims of the members of the Classes is impracticable. Even if every Class member could afford individual litigation, the court system could not. It would be unduly burdensome to the courts in which individual litigation of numerous issues would proceed. Individualized litigation would also present the potential for varying, inconsistent, or contradictory judgments and would magnify the delay and expense to all parties and to the court system resulting from multiple trials of the same complex factual issues. By contrast, the conduct of this action as a class action presents fewer management difficulties, conserves the resources of the parties and of the court system, and protects the rights of each member of the Classes.

ANSWER:

Sterling denies the allegations in Paragraph 46 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶47:

The prosecution of separate actions by individual members of the Classes would create a risk of adjudications with respect to them that would, as a practical matter, be dispositive of the interests of the other Class members not parties to such adjudications or that would substantially impair or impede the ability of such non-party Class members to protect their interests.

ANSWER:

Sterling denies the allegations in Paragraph 47 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶48:

Ronin, UCLA Health, and Sterling have acted or refused to act in respects generally applicable to the Classes, thereby making appropriate final and injunctive relief with regard to the members of the Classes as a whole.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 48 of the Complaint, and specifically denies that class treatment is appropriate in this action.

FIRST CAUSE OF ACTION

CALIFORNIA MEGAN'S LAW

Cal. Pen. Code § 290.46 *et seq*.

(Against Employer Defendants)

COMPLAINT ¶49:

Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

ANSWER:

Sterling restates its answers to Paragraphs 1 through 48 as its answer to Paragraph 49 of the Complaint.

COMPLAINT ¶50:

California Megan's Law, Penal Code § 290.46 ("Megan's Law"), requires that the Department of Justice maintain a public website identifying persons who are registered sex offenders on the website.

ANSWER:

The allegations in Paragraph 50 of the Complaint consist entirely of legal conclusions and, therefore, no answer is required to the allegations in Paragraph 50 of the Complaint. To the extent an answer is required to the allegations, Sterling denies any allegations in Paragraph 50 of the Complaint that are inconsistent with the cited statute. Sterling denies any remaining allegations in Paragraph 50 of the Complaint to the extent they pertain to Sterling.

COMPLAINT ¶51:

To ensure that registered offenders are not discriminated against based on information in the website, the Megan's Law also prohibits the use of information from the Megan's Law Website from being used for employment purposes. Cal. Penal Code § 290.46(j)(2)(E).

ANSWER:

The allegations in Paragraph 51 of the Complaint consist entirely of legal conclusions and, therefore, no answer is required to the allegations in Paragraph 51 of the Complaint. To the extent an answer is required to the allegations, Sterling denies any allegations in Paragraph 51 of the Complaint that are inconsistent with the cited statute. Sterling denies any remaining allegations in Paragraph 51 of the Complaint to the extent they pertain to Sterling.

COMPLAINT ¶52:

Ronin and UCLA Health used the information about Plaintiff contained in the Megan's Law Website for employment purposes and denied Plaintiff employment with UCLA Health.

ANSWER:

Paragraph 52 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 52 of the Complaint, and specifically denies that class treatment is appropriate in this action.

COMPLAINT ¶53:

As a result of Ronin and UCLA Health's violations, Plaintiff and members of the Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, a civil penalty of $25,000.00, exemplary damages, and attorney fees and costs. Plaintiff and members of the Megan's Law Class are also entitled to injunctive/preventative relief ordering that, moving forward, Ronin and UCLA Health cease from using information from the Megan's Law site for employment purposes.

ANSWER:

Paragraph 53 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 53 of the Complaint, and specifically denies that class treatment is appropriate in this action.

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SECOND CAUSE OF ACTION

FAIR CHANCE ACT

Cal. Gov. Code § 12952

(Against Employer Defendants)

COMPLAINT ¶54:

Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

ANSWER:

Sterling restates its answers to Paragraphs 1 through Paragraph 53 as its answer to Paragraph 54 of the Complaint.

COMPLAINT ¶55:

California's Fair Chance Act, Government Code § 12952, provides that "[a]n employer that intends to deny an applicant a position of employment solely or in part because of the applicant's conviction history shall make an individualized assessment of whether the applicant's conviction history has a direct and adverse relationship with the specific duties of the job that justify denying the applicant the position." Gov. Code § 12952(c). In making the assessment, the employer must "consider all the following: (i) The nature and gravity of the offense or conduct. (ii) The time that has passed since the offense or conduct and completion of the sentence. (iii) The nature of the job held or sought." Id.

ANSWER:

The allegations in Paragraph 55 of the Complaint consist entirely of legal conclusions and, therefore, no answer is required to the allegations in Paragraph 55 of the Complaint. To the extent an answer is required to the allegations, Sterling denies any allegations in Paragraph 55 of the Complaint that are inconsistent with the cited statute. Sterling denies any remaining allegations in Paragraph 55 of the Complaint to the extent they pertain to Sterling.

COMPLAINT ¶56:

Ronin and UCLA Health are employers.

ANSWER:

Paragraph 56 of the Complaint does not include allegations directed towards Sterling, and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 56 of the Complaint.

COMPLAINT ¶57:

Plaintiff is an applicant who applied for a position of employment with Employer Defendants.

ANSWER:

Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 57 of the Complaint.

COMPLAINT ¶58:

Employer Defendants reviewed Plaintiffs conviction history in the background report and based on the conviction history intended to deny Plaintiff a position of employment solely or in part because of his conviction history.

ANSWER:

Sterling denies the allegations in Paragraph 58 of the Complaint.

COMPLAINT ¶59:

Employer Defendants did not make an individualized assessment of whether Plaintiffs conviction history had a direct and adverse relationship with the specific duties of a program analyst that Plaintiff applied for that would justify denying him the position.

ANSWER:

Paragraph 59 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 59 of the Complaint.

COMPLAINT ¶60:

The duties of the program analyst included creating various web-based versions of Microsoft Access prototypes using PHP, SQL, and T-SQL. The position was described as a hybrid position that could be handled remotely. Ronin did not consider the nature and gravity of Plaintiffs offense or conduct, the fifteen years that had passed since the offense or conduct and completion of the sentence, or the nature of the job held or sought. It is abundantly clear that Employer Defendants do not provide applicants with a conviction history a "fair chance" at employment.

ANSWER:

Paragraph 60 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 60 of the Complaint.

COMPLAINT ¶61:

As a result of Employer Defendants' violations, Plaintiff and members of the Fair Chance Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, punitive damages, and attorney fees and costs. Plaintiff and members of the Fair Chance Class are also entitled to injunctive/preventative relief ordering that, moving forward, Employer Defendants comply with the Fair Chance Act and provide each and every applicant with a conviction history an individualized assessment to fairly determine whether she or he is fit for the position.

ANSWER:

Paragraph 61 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 61 of the Complaint.

THIRD CAUSE OF ACTION

INVESTIGATIVE CONSUMER REPORTING AGENCIES ACT

Cal. Civ. Code § 1786.18

(Against Sterling)

COMPLAINT ¶62:

Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

ANSWER:

Sterling restates its answers to Paragraphs 1 through 61 as its answer to Paragraph 62 of the Complaint.

COMPLAINT ¶63:

California Investigative Consumer Reporting Agencies Act ("ICRAA"), Civil Code § 1786.18, prohibits an investigative consumer reporting agency from making or furnishing any investigative consumer report containing, among other things, "[r]ecords of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years." Cal. Civ. Code § 1786.18(a)(7).

ANSWER:

The allegations in Paragraph 63 of the Complaint consist entirely of legal conclusions and, therefore, no answer is required to the allegations in Paragraph 63 of the Complaint. To the extent an answer is required to the allegations, Sterling denies any allegations in Paragraph 63 of the Complaint that are inconsistent with the cited statute. Sterling denies any remaining allegations in Paragraph 63 of the Complaint, and specifically denies that it violated ICRAA, or any other law.

COMPLAINT ¶64:

Sterling is an "investigative consumer reporting agency" because it, "for monetary fees or dues, engages in whole or in part in the practice of collecting, assembling, evaluating, compiling, reporting, transmitting, transferring, or communicating information

concerning consumers for the purposes of furnishing investigative consumer reports to third parties." Cal. Civ. Code § 1786.2(d).

ANSWER:

Sterling admits that it provides certain services as a "consumer reporting agency," as that phrase is defined by ICRAA, and as limited to those services only. Sterling denies any remaining allegations in Paragraph 64 of the Complaint.

COMPLAINT ¶65:

An "investigative consumer report" means a consumer report in which information on a consumer's character, general reputation, personal characteristics, or mode of living is obtained through any means." Cal. Civ. Code § 1786.2(c).

ANSWER:

Paragraph 65 of the Complaint consists only of legal conclusions and, therefore, no answer is required. To the extent an answer is required, Sterling admits that it prepared "consumer reports" regarding Plaintiff, as that term is defined by the FCRA. Sterling denies any remaining allegations in Paragraph 65 of the Complaint.

COMPLAINT ¶66:

Plaintiff is a "consumer" under the ICRAA because he is "a natural individual who has made application to a person for employment purposes." Cal. Civ. Code § 1786.2(b).

ANSWER:

Sterling admits that Plaintiff is a "consumer," as that term is defined by the ICRAA. Sterling denies any remaining allegations in Paragraph 66 of the Complaint.

COMPLAINT ¶67:

Sterling violated the ICRAA by furnishing an investigative consumer report on Plaintiff containing records of a conviction that antedates the report by more than seven years. Sterling's violation was grossly negligent or willful because it was aware of the ICRAA yet elected to ignore and violate the statute.

ANSWER:

Sterling denies the allegations in Paragraph 67 of the Complaint.

COMPLAINT ¶68:

As a result of Sterling's violations, Plaintiff and members of the ICRAA Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, punitive damages, and attorney fees and costs. Plaintiff and members of the ICRAA Class are also entitled to injunctive/preventative relief ordering that, moving forward, Sterling ceases from including records of arrest, indictment, information, misdemeanor complaint, or conviction in investigative consumer reports that antedate the report by more than seven years.

ANSWER:

Sterling denies the allegations in Paragraph 68 of the Complaint, and specifically denies that it violated ICRAA, or any other law, and denies that class treatment is appropriate in this action.

FOURTH CAUSE OF ACTION

FAIR CREDIT REPORTING ACT

15 U.S.C. § 1681b(b)(3)

(Against Employer Defendants)

COMPLAINT ¶69:

Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

ANSWER:

Sterling restates its answers to Paragraphs 1 through 68 of the Complaint as its answer to Paragraph 69 of the Complaint.

COMPLAINT ¶70:

Ronin is a "person" as defined by the FCRA.

ANSWER:

Paragraph 70 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks

knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 70 of the Complaint.

COMPLAINT ¶71:

UCLA Health is a "person" as defined by the FCRA.

ANSWER:

Paragraph 71 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 71 of the Complaint.

COMPLAINT ¶72:

Plaintiff is a "consumer" as defined by the FCRA, on who a "consumer report" was generated and furnished, as defined by the FCRA.

ANSWER:

Sterling admits that Plaintiff is a "consumer" as that term is defined by the FCRA. Sterling denies the remaining allegations in Paragraph 72 of the Complaint.

COMPLAINT ¶73:

Employer Defendants obtained a consumer report on Plaintiff, used it for employment purposes, and before taking adverse action failed to provide a pre-adverse action notice, and after taking adverse action failed to provide a post-adverse action notice. Thus, Employer Defendants are in violation of the FCRA, 15 U.S.C. § 1681b(b)(3).

ANSWER:

Paragraph 73 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling admits that it prepared a consumer report on Plaintiff at the request of Ronin Staffing LLC. Sterling denies any remaining allegations in Paragraph 73 of the Complaint to the extent they are directed to Sterling.

COMPLAINT ¶74:

As a result of Employer Defendants negligent violation of the FCRA, Plaintiff and FCRA Class members are entitled to actual damages, and reasonable attorneys' fees and costs. 15 U.S.C. § 1681n.

ANSWER:

Paragraph 74 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 74 of the Complaint to the extent they pertain to Sterling.

COMPLAINT ¶75:

Employer Defendants also acted with knowledge, willfulness, and reckless disregard of the law, thereby entitling Plaintiff and FCRA Class members to statutory damages of $1,000.00 and punitive damages in an amount to be determined at trial. 15 U.S.C. § 1681n.

ANSWER:

Paragraph 75 does not include any allegations against Sterling and, therefore, no answer from Sterling is required. To the extent an answer is required, Sterling denies the allegations in Paragraph 75 of the Complaint to the extent they pertain to Sterling.

FIFTH CAUSE OF ACTION

UNFAIR COMPETITION LAW

California Business & Professions Code §17200

(Against All Defendants)

COMPLAINT ¶76:

Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

ANSWER:

Sterling restates its answers to Paragraphs 1 through 75 as its answer to Paragraph 76 of the Complaint.

COMPLAINT ¶77:

The UCL defines unfair competition to include any unlawful, unfair, or fraudulent business act or practice. The UCL provides that a court may order injunctive relief as a remedy for any violations of the UCL.

ANSWER:

The allegations in Paragraph 77 of the Complaint consist entirely of legal conclusions and, therefore, no answer is required to the allegations in Paragraph 77 of the Complaint. To the extent an answer is required, Sterling denies any allegations in Paragraph 77 of the Complaint that are inconsistent with the cited statute. Sterling denies any remaining allegations in Paragraph 77 of the Complaint, and specifically denies that it violated the UCL, or any other law.

COMPLAINT ¶78:

Beginning on an exact date unknown to Plaintiff, but at all times relevant herein, Defendants have committed acts of unfair and unlawful competition proscribed by the UCL, including the practices alleged herein. The acts of unfair competition include the following:

a. Employer Defendants used information contained in the Megan's Law Website for employment purposes.

b. After receiving the conviction information about Plaintiff, Employer Defendants failed to conduct an individualized assessment before using the conviction information to deny Plaintiff employment.

c. Sterling included prohibited information in the investigative consumer report on Plaintiff and members of the ICRAA Class.

d. Employer Defendants failed to provide a pre-adverse action notice and post-adverse action notice in connection with denying Plaintiff employment based on information in the background report from Sterling.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 78 of the Complaint.

COMPLAINT ¶79:

Defendants' unlawful conduct has caused and continues to cause substantial injury to Plaintiff and the members of the Classes. As a result of Defendants' unfair and unlawful conduct, Plaintiff lost money and/or property, including payments made in connection with the hiring process.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 79 of the Complaint.

COMPLAINT ¶80:

The business acts and practices of Defendants, as hereinabove alleged, constitute unfair business practices in that said acts and practices offend public policy and are substantially injurious to consumers and prospective employees. These acts and practices have no utility that outweighs their substantial harm to consumers and prospective employees.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 80 of the Complaint.

COMPLAINT ¶81:

The unlawful and unfair business acts and practices of Defendants described herein present a continuing threat to Plaintiff and members of the general public in that Ronin and UCLA Health are currently engaging in such acts and practices, and will persist and continue to do so unless and until an injunction is issued by this Court.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 81 of the Complaint.

COMPLAINT ¶82:

Pursuant to Business and Professions Code § 17203, Plaintiff seeks a injunction and public injunctive relief ordering that, moving forward:

a. Ronin and UCLA Health cease from using information on the Megan's Law Website for employment purposes.

b. Ronin and UCLA Health implement and complete individualized assessments on employment candidates where a background report discloses conviction information, in connection with employment decisions.

c. Sterling ceases from including records of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years.

d. Ronin and UCLA Health provide pre-adverse action and post-adverse action notices when making adverse employment decisions based on information contained in a background report.

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 82 of the Complaint.

COMPLAINT ¶83:

Pursuant to Code of Civil Procedure § 1021.5, Plaintiff seeks recovery of his attorney's fees, costs and expenses incurred in the filing and prosecution of this action

ANSWER:

With respect to those allegations directed towards Sterling, Sterling denies the allegations in Paragraph 83 of the Complaint.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays that judgment be entered against Ronin, and Plaintiff be awarded the following legal and equitable relief:

1. Certifying the Classes and pursuant to Federal Rule of Civil Procedure 23(b)(2) and (b)(3), certifying Plaintiffs as the representatives of the Classes, and designating their counsel as counsel for the Classes

2. Actual and compensatory damages for injuries suffered by Plaintiffs and the Classes;

3. Statutory damages and treble damages;

4. Punitive/exemplary damages;

5. Civil penalties;

6. Injunctive/preventative relief ordering that, moving forward, Ronin and UCLA Health cease from using information from the Megan's Law Website for employment purposes;

7. Injunctive relief ordering that, moving forward, Ronin and UCLA Health implement and complete individualized assessments where a background report discloses conviction information in connection with employment decisions;

8. Injunctive relief ordering that, moving forward, Sterling cease from including records of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years;

9. Injunctive relief ordering that, moving forward, Ronin and UCLA Health provide pre-adverse action and post-adverse action notices when making adverse employment decisions based on information contained in a background report.

10. Reasonable attorney's fees and costs to bring and maintain the instant action;

11. For such other and further relief as the Court may deem just and proper.

ANSWER:

With respect to the relief requested from Sterling and those allegations directed toward Sterling, Sterling denies that Plaintiff is entitled to any of the relief requested in the Complaint as to Sterling, and further denies that Plaintiff is entitled to any relief whatsoever from Sterling.

TRIAL BY JURY

Pursuant to the Seventh Amendment to the Constitution of the United States of America, Plaintiff is entitled to, and demands, a trial by July.

ANSWER:

Sterling admits that Plaintiff purports to demand a jury trial. Sterling denies any remaining allegations in the Demand for Jury Trial.

AFFIRMATIVE AND OTHER DEFENSES

Without assuming the burden of proof where it otherwise rests with Plaintiff, Defendant asserts the following affirmative and other defenses to the Complaint, and reserves its right to raise additional defenses as may be discovered during the course of these proceedings:

FIRST DEFENSE

Any damages sustained by Plaintiff and/or putative class members were not proximately caused by Sterling.

SECOND DEFENSE

Sterling consistently followed reasonable procedures to assure maximum possible accuracy in the information concerning Plaintiff and all other individuals on which it has prepared consumer reports.

THIRD DEFENSE

Plaintiff's claims and/or the putative class members' claims are barred in whole or in part to the extent they occurred and/or accrued outside of the applicable statute of limitations.

FOURTH DEFENSE

To the extent Plaintiff's purported class includes individuals who suffered no concrete harm, such individuals lack standing to bring suit against Sterling.

FIFTH DEFENSE

Sterling is not subject to general or specific personal jurisdiction in this Court as to the claims belonging to some or all members of the putative class defined in the Complaint.

SIXTH DEFENSE

This Court is not the proper venue as to the claims belonging to some or all members of the putative class defined in the Complaint.

SEVENTH DEFENSE

Plaintiff's claims on behalf of putative class members fail because Plaintiff cannot meet his burden to demonstrate that each requirement of Federal Rule of Civil Procedure

23 including, but not limited to, ascertainability, adequacy, typicality, commonality, predominance, and superiority, is met here, and because certifying a class in the circumstances of this case would violate Sterling's right to due process under the law.

RESERVATION OF RIGHTS

Sterling's investigation is ongoing and discovery in this action has not commenced. Sterling reserves its right to raise additional defenses as may be discovered or become apparent during the course of these proceedings.

DATED: September 12, 2024

SEYFARTH SHAW LLP

By: */s/ Jasmine J. Stanzick*
Jasmine J. Stanzick
Attorneys for Defendant
STERLING INFOSYSTEMS, INC.